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File No.: EXP202404330

Investigation Actions No. AI/00130/2024.

RESOLUTION OF FILE OF ACTIONS

From the actions carried out by the Spanish Agency for Data Protection and based on the following FACTS

FIRST: On April 28, 2023, A.A.A. (hereinafter, the claimant) filed a complaint with the Spanish Agency for Data Protection. The complaint is directed against various entities allegedly responsible for their inclusion in a credit information file, among which is TOYOTA KREDITBANK GMBH BRANCH IN SPAIN with NIF W0043045D (hereinafter, the defendant/TOYOTA KREDITBANK).

The claimant states that 3 financial entities, including the defendant, have included their personal data in a common credit information system known as "Fichero BADEXCUG" managed by the entity EXPERIAN BUREAU DE CRÉDITO, S.A (hereinafter, Experian) without having ceded their data and without having been previously informed of the possibility of inclusion of the debts appearing therein by the managing entity of the file or by the reporting entities (in a verifiable manner with acknowledgment of receipt), which has prevented them from exercising their right to erasure before the managing entity of the file Experian until April 12, 2023, which has been denied. Furthermore, they also allege that the debt recorded therein is inaccurate (without further specification regarding the inaccuracy or the specific debt to which they refer);

Along with their complaint, they provide the following documentation:

- Request for the erasure of their data in the aforementioned file addressed to Experian, dated March 10, 2023, in which they request the erasure of all data included in their name in its files, for not having been previously informed of their inclusion, as well as for being inaccurate, contradictory, including usurious clauses and interests, being uncertain, being time-barred or expired. No reference is made to the specific debts and data whose erasure is requested.
- The response letter dated April 25, 2023, from Experian, in which acknowledgment of receipt of the data cancellation request received on April 19, 2023, is made, communicating that it cannot proceed with the cancellation of the requested data, since the entities that reported the debt have confirmed its existence in the terms reported in the letter. Therefore, the data included in the file is maintained until then, and they are informed that, additionally, a new debt has been included by the defendant, TOYOTA KREDITBANK, dated 23/04/23, amounting to (...) euros, with the first date of non-payment being 19/02/23.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to TOYOTA KREDITBANK for it to analyze and inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received on 03/07/23, as recorded in the acknowledgment of receipt in the file.

THIRD: On July 28, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the claimant was admitted for processing, notifying them on August 24, 2023.

FOURTH: On August 3, 2023, TOYOTA KREDITBANK submitted a written statement of allegations, in which it states, in summary, the following:

- That the claimant was included in the mentioned file because they had a debt of (...) euros, corresponding to the non-payment of two installments due on 19/02/2023 for an amount of (...) euros and the due date of 19/03/2023, for an amount of (...) euros.
- These installments were part of Loan Contract No. ***CONTRACT.1 for the financing for the acquisition by the claimant of a Toyota vehicle, signed on August 19, 2019. This contract is not provided.
- It acknowledges having requested Experian to include the claimant in this file on several occasions due to the non-payment of different installments of the same loan, always after a payment demand to them, given that they have a long history of defaults.

- That they are currently listed as removed from the mentioned file, since on 12/07/23 the claimant paid the installments that were pending until then.

The claimant states that they provide 4 annexes, although only 3 are provided:

- Annex 1. Proof of the returned installments. It is noted that only one returned installment dated 20/03/23 for (...) euros is attached.

- Annex 2. Certified letters received by the client. Not attached.

- Annex 3. A total of 3 emails informing the claimant of the non-payment of the two mentioned installments, and of their referral for collection to a law firm, in which no date of the demand appears nor a notice of their inclusion in the mentioned file in case of continued non-payment after the 3/9

granted deadline. The requirements inform of the following debts:

(...) euros for non-payment of the installment due on 19/02/23 with late interest as of 04-4-23; and (...) euros for non-payment of the installment due on 19/02/23 with late interest as of 10-4-23.

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And as Annex 4, a certificate from Experian is provided, stating that as of August 2, 2023, there are no debts recorded in the file under the name of the claimant.

FIFTH: On August 4, TOYOTA KREDITBANK rectifies its claim on its own initiative, to attach what it had referred to as Annex 2, providing various documentation evidencing the payment demand and notification of the possible inclusion in the aforementioned file of all the installments that were unpaid by the claimant.

Among this documentation, we find a demand dated June 8, 2023, in which the claimant is warned of the inclusion in the file of the installments due on 19/02/23 and 19/03/23 referred to in this file, which are recorded as unpaid as of 04/04/23, and registered in the file on 23/04/23. Regarding the justification of the notification to the claimant, no acknowledgment of receipt is attached, but rather a certificate from the subcontracted company responsible for the mass printing and sending of communications, and a delivery receipt from this company to the State-owned Company of Post and Telegraphs of Spain for a group of notifications, among which the demand of June 8 to the claimant appears to be included, dated by the Post Office on June 9, 2023.

On the other hand, the respondent states that the claimant has failed to pay 26 installments out of the 47 that comprised the loan, providing evidence of the unpaid installments, and submits proof of having sent prior payment demands regarding these installments and a notice of inclusion in the file for 3 unpaid installments corresponding to the year 2022, the last one being from October 2022.

LEGAL GROUNDS

I

Competence

In accordance with the functions conferred to each supervisory authority by Article 57.1 a), f) and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to resolve these investigative proceedings.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Credit Information Systems

In order to process personal data - in this case, to communicate the claimant's personal data to a third party for the purpose of sharing it with all entities associated with the common credit information system, after fulfilling certain requirements - it is necessary to first determine whether what is referred to as a "lawful basis" under the GDPR exists that legitimizes the data controller to carry out the processing operations necessary to fulfill the purposes in question.

As clearly stated in Recital 40 of the GDPR: "For processing to be lawful, personal data must be processed with the consent of the data subject or on another legitimate basis established in law,

whether in this Regulation or under another Union or Member State law to which this Regulation relates, including the necessity of complying with a legal obligation applicable to the data controller or the necessity of performing a contract to which the data subject is a party or for the purpose of taking steps at the request of the data subject prior to entering into a contract."

Regarding this issue, the main rule is Article 6 of the GDPR, which under the heading "Lawfulness of processing" refers in its paragraph 1 to the cases in which the processing of personal data may be considered lawful in general:

"1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular where the data subject is a child."

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The provisions in letter f) of the first paragraph shall not apply to the processing carried out by public authorities in the exercise of their functions."

Article 20 of the LOPDGDD, which regulates credit information systems, states in its first section the following:

"1. Unless proven otherwise, the processing of personal data related to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
- b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.
- c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data related to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data being blocked during that period.

- d) That the data is only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the due date of the monetary, financial, or credit obligation.
- e) That the data related to a specific debtor can only be consulted when the person consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or has requested the conclusion of a contract that implies financing, deferred payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

When the right to limit the processing of the data has been exercised before the system by contesting its accuracy in accordance with the provisions of Article 18.1.a) of Regulation (EU) 2016/679, the system will inform those who may consult it according to the previous paragraph about the mere

existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request of the affected party is being resolved.

f) That, in the event that the request for the conclusion of the contract is denied, or it is not concluded as a result of the consultation made, the person who consulted the system shall inform the affected party of the result of that consultation."

The files of these credit information systems, such as the BADEXCUG file referred to in the claim (hereinafter, the file), therefore contain a large number of personal data of the alleged debtors who are included in.

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the same, prior notification from the creditor and the managing entity. Data that is shared among the entities associated with the file. The inclusion is requested by the various associated entities that report the debt that each of their debtors has incurred with them.

This request constitutes a data processing operation that can be classified as a "transmission or assignment" of these personal data, since they were provided by the interested parties only to the reporting entity, given that the common system allows these data to be consulted in turn by third parties outside of this common credit information system, subject to the fulfillment of certain requirements.

In the case of personal data processing operations, the data protection regulations provided for in the GDPR will fully apply to the entity responsible for transmitting these personal data to the file manager, regardless of whether it must also comply with other possible specific regulations that govern the requirements and conditions for inclusion in this file.

In this case, the claiming party reports the improper communication of their personal data to the BADEXCUG file without indicating which installments are referred to, stating that their deletion request made on 12-4-23 has not been addressed, and that they have been included in the BADEXCUG file without the claimed party sending them a prior notice of inclusion in the file.

Once the documentation provided by them has been examined, it is deduced that such deletion request referred to previous debts that have not been specified, but that, in any case, do not correspond to those for which the lack of prior notice of inclusion in the file is claimed, and that refer to the alleged non-payment of the two installments due on 19-2-23 and 19-3-23 of the loan agreed upon between the claiming and claimed parties, which were included in the file on 23-4-24, according to the response from Experian provided by the claimant, that is, on a date subsequent to the exercise of the right to deletion, which therefore does not affect the entry requested by the claimed party.

It is therefore necessary to determine whether the claimed party failed to comply with the requirements set forth in Article 20 of the LOPDGDD, by having requested on 23-4-23 the inclusion in the BADEXCUG file—which has the character of a "credit information system"—of the installments of the financing loan subscribed with the claimant, which were due on 19/02/23 and 19/03/23.

Regarding this issue, from the analysis of the documentation provided by both parties, it is deduced that the claimed party has not failed to comply with the requirements referred to by the claimant, for the following reasons:

- First, the claimant indicates that the debt is inaccurate, but does not specify or detail the reason or to what extent, making a mere generic assertion in their claim. This assertion is not accompanied by any evidentiary basis, whereas the claimed party has proven that such debt was enforceable and was valid at the time it was registered on 23/04/23, providing the returned receipts and two.

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payment demands, so in principle, the requirement set forth in Article 20.1.b) of the LOPDGDD would

be met.

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Secondly, the claimant alleges that they have not been informed by the respondent of the possibility of inclusion in the file in the event of non-payment of these two installments for February and March 2023, in a verifiable manner and with acknowledgment of receipt.

Regarding the installments of 19/02/23 and 19/03/23 referred to in this file, it is evidenced that they were unpaid as of 04/04/23, were demanded for payment on 04/04/23 and 10/04/23, and were finally communicated to Experian and registered in the BADEXCUG file on 23/04/23. Furthermore, it is noted that the respondent did not inform the claimant of their inclusion in the file concerning both installments until 09/06/23, after the inclusion.

This is evidenced by the following documentation provided by the respondent:

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Two payment demands sent by the manager of the respondent's default department to the claimant are included: one dated 04/04/23, in which payment of a debt of (...) euros is requested, and one dated 10/04/23, in which payment of a debt of (...) euros is requested. None of these payment demands contains a mention of the possible inclusion in the file. Both documents refer to the amounts being calculated considering the late payment interest as of the date of the demand. This is compatible with the amount that was ultimately included in the file, as reported by Experian, of (...) euros as of 23/04/23.

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Additionally, a demand for inclusion in the file for both installments is attached - along with the proof of submission by a third company in the terms indicated in the background facts - dated 09/06/23.

However, on the other hand, the respondent also proves that the claimant stopped paying 26 out of 47 installments corresponding to the same vehicle financing loan, and states that they demanded payment for the 24 unpaid installments beforehand, and previously warned the claimant of the inclusion of the same in the file. Specifically, they provide 3 demands in which they do inform the claimant about the recording of their data in these files. All three are from 2022, prior to the events. The last of them is from October 2022.

It should be noted that what Article 20.1.c) of the LOPDGDD requires from the creditor of the debt is the following: "c) That the creditor has informed the affected party in the contract or at the time of demanding payment about the possibility of inclusion in such systems, indicating those in which they participate":

Now, the regulation does not specify the manner and number of occasions in which such a demand for "possibility of inclusion in the file" must be made. Specifically, it does not expressly state that in cases where, as in the present case, multiple installments corresponding to the same contractual relationship are unpaid, it is mandatory for the creditor to send a separate demand for inclusion in the file for each unpaid installment.

In the absence of specific provisions, we must interpret the obligation set forth in the aforementioned provision according to its literal wording (literal interpretation), and in accordance with the spirit and purpose of the law (teleological or functional interpretation of the norms), in the sense provided in Article 3.1 of the Civil Code, which establishes that "1. The norms shall be interpreted according to the proper meaning of their words, in relation to the context, historical and legislative background, and the social reality of the time in which they are to be applied, fundamentally considering the spirit and purpose of those."

Thus, from the literal wording of the obligation, which determines that the creditor must be informed about the "possibility" of being included in the file at the time of demanding payment; and the functional interpretation of the provision, whose clear purpose is for the debtor to know that by failing to comply with any installment of this installment loan, they will be included in the file, it is deduced that having already received several demands for inclusion in the file after the non-payment of other previous installments of the same loan, the claimant was correctly informed of this possibility, fulfilling the creditor entity's obligations under Article 20.1.c) of the LOPDGDD.

Based on this, we can conclude that this requirement has not been breached, given that it has been evidenced that the claimant had already defaulted on other installments previously and had been

informed by the respondent that they would be included in the file, thus knowing that in the event of a new default, they would be included again in said file.

Consequently, from all of the above, it is deduced that there is no violation of the applicable regulations by the respondent entity that justifies the initiation of a sanctioning procedure against it.

III

Conclusion

Therefore, based on the indications in the previous paragraphs, no evidence has been found to substantiate the existence of a violation within the jurisdiction of the Spanish Agency for Data Protection.

All this without prejudice to any possible subsequent actions that this Agency may carry out, applying the investigative and corrective powers it holds.

Thus, as it has not been possible to attribute any responsibility for the processing carried out by the respondent, according to what has been indicated, by the Director of the Spanish Agency for Data Protection, IT IS AGREED:

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FIRST: TO PROCEED WITH THE FILING of the present proceedings.

SECOND: TO NOTIFY this resolution to TOYOTA KREDITBANK GMBH BRANCH IN SPAIN and to the claiming party.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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